

across the available funds because of the different strategies adopted by each one of them. As investors, it would be in your interest to understand the strategy adopted by a specific fund before investing in them and have a minimum 3-5-year investment time frame when investing in this category.

ADVANTAGE INVESTORS

For new investors, there is always the fear of the market downs and ups—they are worried and unsure of which fund to invest in. The Balanced Advantage Funds are a good starting point for new investors. These funds follow the first principle of investing—buy low and sell high. However, not every investor can follow this rule on their own and needs to be guided and assisted in investing, keeping emotions in check. Dynamic Asset Allocation Funds help investors tame their emotions and aid them in weathering market cycles with a steady performance over different market cycles.

DYNAMIC ASSET ALLOCATION FUNDS CHECK THE FALL IN THEIR RETURNS WHEN THE MARKETS FALL, BUT STAND TO GAIN MORE WHEN THE MARKETS SURGE, MAKING THEM SUITABLE FOR ALL TYPES OF INVESTORS

As for seasoned investors, allocation to Balanced Advantage Funds can form a significant part of their portfolio, with other categories of funds playing the role of tactical allocation. The Dynamic Asset Allocation and rebalancing principle followed by these funds make them a suitable fund for steady, risk-adjusted returns over different market cycles. So, market downturns hit their performance less than the benchmarks, while the upside is significantly more when the markets go up.

Like any other mutual fund investment, investing in a Balanced Advantage Fund is also not a one-time buy-and-forget rule. You need to understand how each of the funds fares in a full cycle and which one suits your individual needs and financial goals. The upside of these funds is, of course, the decision on when to go up on equities and when to reduce it—something that seasoned fund managers can do better than small investors.

Invest in this category of hybrid fund to maintain a steady portfolio return and, for those willing to learn, it could be a great experience to know why and how much allocation a fund does and its impact on the fund's performance compared to the benchmark. As small investors, one looks to invest in instruments that post steady returns and are able to check the falls when the markets tank. The Dynamic Asset Allocation Funds have the potential to address this specific investor need and it is a favourable fund scheme to have investments in. ■

–Narayan Krishnamurthy

ADVANTAGE OF BALANCED ADVANTAGE FUNDS

- **Equity:** Allocation to equity has the potential for growth, which can help boost returns
- **Debt:** Allocation to debt counters the risk of equities and brings in stability to the portfolio
- **Arbitrage or derivatives:** A strategy adopted by the fund as stated in the objective to manage the dynamic asset allocation and rebalancing model
- **Diversification:** You get the benefit of diversification, which helps in managing the overall portfolio risk
- **Convenience:** You need not look for rebalancing your portfolio as this fund helps in dynamic rebalancing
- **Tax efficiency:** These funds are classified as equity-oriented funds for the purposes of taxation and thereby, capital gains are taxed at 10 per cent (without indexation) if investments are held for more than 12 months and at 15 per cent if investments are held for up to 12 months